Higher National Diploma in Accountancy
Second Year, Second Semester Examination -2022
HNDA 2201 - Cost and Management Accounting

Calculators are allowed
Answer Five (05) questions only.
All question carry equal marks.

No. of questions: 06
No. of Pages -05
Time: Three (03) hours

Question No. 01

1. Differentiate between cost accounting and management accounting? (4 Marks)
2. Briefly explain the ways of cost classifications according to behavior with examples? (4 Marks)
3. Briefly explain what "Economic Order Quantity" is and illustrate EOQ graphically?
4. Mention three differences between Marginal costing and Absorption costing? (3 Marks)
5. Prepare the stock ledger under WAC method for Hydra Company ltd.

Starting April 1, bought 500 units at Rs3.00 a unit. On April 18, sold 200 units. On April 19, purchased 300 units at Rs3.75. Sold another 200 units on April 22. On April 28, sold 108 units. (5 Marks)

6. Maggy Ltd purchases material "008" at Rs. 500 per Kg. The ordering cost is Rs. 625 per order. The carrying cost is 2% of the unit purchase price. The reorder period is 2-4 weeks. The consumption of this material varies from 5000 to 7000 kg per month. You are required to calculate,
   a) Economic Order Quantity
   b) Re order level
   c) Maximum Stock Level
   d) Minimum Stock Level

(4 Marks)

(Total 20 Marks)

Question No. 02

1. Differentiate between "Cost Allocation" and "Cost Apportionment"? (1 Marks)
2. Mithun produced 200 units & Sithum produced 360 units in an eight hour working day. The standard is 40 units per hour. Company pays Rs. 600 per hr. Compute the wages payable for Mithun & Sithun under the methods of,
   a) Time based (1 Marks)
   b) Piece rate (2 Marks)
   c) Bath Bonus scheme (2 Marks)
3. Pawan Ltd is a manufacturing the product, P001. Company has three production departments A, B and C, and two service departments X and Y. The following are the actual values in rupees for this month, 2021:

Direct wages 700,000, Direct Material 430,000, Rent & Rates 45,000, Power 400,000, Staff Welfare Expenses 30,000, Insurance & Depreciation on Machinery 60,000, Lightening 480,000.

The other technical details of departments are:

Particulars	A	B	C	X	Y
Floor area ('000 Sq. Ft.)	50	40	30	20	10
Direct wages (Rs.000)	20	15	15	10	10
Indirect Material (Rs.000)	33	78	4	23	23.75
Indirect Wages (Rs.000)	6	63	12	1	8.25
Horse. P. of Machines	50	25	25	15	10
Cost of Machines (' lakhs)	7	2	4	2	0
Lighting Points	6	5	3	6	4
No. of Workers	10	15	15	5	5

The costs of service departments are distributed as under:

Particulars	A	B	C	X	Y
Department X	20%	40%	30%	–	10%
Department Y	40%	20%	20%	20%	–

Product Information and budgeted data

Product Name		P001	
		Budgeted	Actual
Units Produced			2500
Machine hours	Department A	45000	40000
	Department B	70000	80000
	Department C	80000	82500

Budgeted Overhead cost of each Departments are, Department A – Rs.450,000 , Department B – Rs.420,000 and Department C – Rs. 320,000. Production Overheads are absorbed under machine hour basis. Administration overheads are Rs 245,000 and Selling and distribution overheads are 745,000.

Required:

a) Show the PRIMARY overhead distribution (2 Marks)
b) SECONDARY DISTRIBUTION of overhead expenses (Simultaneous Equation method)

c) Overhead Absorption Rates for each Production Departments (3 Marks)
d) Selling price of the product if company keeps 20% margin on selling price of the product using absorption method? (3 Marks)

(6 Marks)
(Total 20 Marks)

Question No. 03

1. Define the term "Breakeven Point" and state two main assumption of CVP analysis? (3 Marks)

2. Ali Ltd Produces a product called "LI". Following information are given.

Total Sales	Rs. 1250,000
Variable cost per unit	Rs. 60
Margin of safety ratio	40%

Selling price per unit is charge by adding 25% markup on variable cost per unit.

Calculate,

a) Margin of Safety in rupees
b) Break Even Pont in Rupees = FC / contribution
c) Break Even Pont in Units
d) Fixed Cost
e) Profit of the firm (5 Marks)

3. Arko Ltd produces 3 products P, Q and R. you are given following details for production of one unit.

	P	Q	R
Selling Price Rs	1850	3280	6230
Variable cost Rs.			
Direct Material Rs. (@ Rs. 85/Kg)	850	1700	3400
Direct Labour Rs.	390	700	1400
Overhead Rs.	400	900	1350
Expected Sales per month (Units)	7870	3450	3500

The raw material for the month is limited to 278,700 Kg. The monthly fixed overhead is Rs. 700,000. Company policy is to produce at least 3200 units of each product regardless of losses.

Required,

a) The material shortage in Kg. (3 Marks)
b) Advise to produce best production mix (3 Marks)
c) Production Plan (3 Marks)
d) Compute the monthly profit under that plan (3 Marks)
(Total 20 Marks)

Question No. 04

1. You are given the information of Process 3 of the product B produced by the Company Xero Ltd.

   Opening Work in Progress is 2500 Units & it consists of Material I Rs. 39500, Material II Rs. 64440, Labour Rs.13500 and Overhead cost Rs. 9000. 9000 units were transferred from Process II account of Rs. 27,412.00. 7760 units were transferred to Process IV account at the end of the process.

   Following inputs were added while the process was going on.

Material II	48,552.00
Labour	63,652.00
Overhead cost	36,160.00

1300 units were lossed in the process and its completed % are, Material II - 80%, Labour - 60% and Overheads - 80%. Closing Work in Progress were 3100 units and its completed % were, Material II - 80%, Labour - 60%, Overheads - 40%. Normal loss were estimated at 15% from active units and resaleable at Rs.1.20.

Required,

a) Process 3 account (5 Marks)
b) Normal Loss Account (2 Marks)
c) Abnormal Loss/Gain Account (2 Marks)
d) Equivalent unit, cost, evaluation statement (11 Marks)

(Total 20 Marks)

Question No. 05

1. Mention four objectives of budgeting? (2 Marks)
2. Amul Ltd. forecasted following information for the period ending by 31st March 2022.

Opening Cash Balance Rs. 52000

Budgeted Sales	Rs.
Nov	65000
Dec	67000
Jan	70000
Feb	70000
Mar	99800

Budgeted Purchases	Rs.
Dec	69400
Jan	55500
Feb	76000
Mar	64000

70% of the sales are on credit base and debtors will settle, 60% of the balance on the month following to sales, rest will be settled in subsequent two month as 25% and remaining respectively. 60% of purchase cost will be settled on the same month and rest will be settled on next month.

	Rs.
Monthly salary	17000 (Pay on same month)
Overheads	20000 (Includes depreciation Rs. 4000)
Tax	15000 (paid on February)
Bank loan to be received	192000 (to be received on March)
Machine acquired	Down payment Rs.100000 paid on January at the acquisition) (Monthly Instalment -48000)

Required,
Cash budget for the Jan, February and March?

(18 Marks)
(Total 20 Marks)

Question No. 06

Actual details of the Mihira Ltd for month December are as follows.

Actual production and sales are 17750 units.

Direct materials utilised- 20080 Kg , Total Direct Material cost - Rs.2,048,160.

Direct labour hours - 7,200 hours, Total Direct Labour cost - Rs. 396,000.

Actual overheads - Rs. 300,000 out of which a sum of Rs. 180,000 was fixed.

A budgeted production of a company is 18,000 units per month. The standard cost per unit is given below.

Direct Materials	1.2Kg @ Rs. 100 per Kg
Direct Labour	0.4 Hours @ Rs. 50 per hour
Variable Overheads	0.4 hours @ Rs. 40 per hour
Fixed Overheads	Rs. 12 per unit
Selling Price	Rs. 220 per unit

Assuming there is no change in the selling price calculate,

a) Direct Material usage
b) Direct Material Price
c) Direct Labour Efficiency
d) Direct Labour Rate
e) Overhead variance efficiency
f) Overhead expense
g) Fixed overhead volume
h) Fixed overhead expense
i) Sales volume
j) Gross margin

(2 Marks each x10)

(Total 20 Marks)